

Marvell Technology, Inc.

MRVL NASDAQ

Buy	\$236.45 ▼ 1.79%	12M Price Target \$275.00	52-Week Range \$70.69 – \$329.88	Market Cap \$212.50B
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MRVL: GlobalFoundries Deal Locks In AI Supply Chain

WHAT HAPPENED

- MRVL cooled off 1.8% today after a 4-day rip from \$218 to \$240 — this is a normal breather, not a breakdown. The big news is the GlobalFoundries deal to expand SiGe (silicon germanium — the material used for high-speed optical chips that move data around AI data centers) capacity. Translation: MRVL just locked in US-based manufacturing for the exact chips hyperscalers need, which is huge given the geopolitics.
- Volume today was light (~7M vs 20M yesterday), which tells me this dip is profit-taking, not real selling. Options flow is mixed — someone bought 3,165 calls at \$242.50 expecting a bounce, but there's also unusual put buying at \$300 and \$320 (likely hedges by holders sitting on gains).

WHY IT MATTERS

The GlobalFoundries partnership is bigger than the market is treating it. Here's the inference: with the Trump administration's tariff regime on Chinese semis and the ongoing CHIPS Act incentives, having guaranteed US foundry capacity for AI networking chips is now a strategic moat, not just a supply chain footnote. Competitors sourcing from TSMC in Taiwan are one Taiwan Strait headline away from a crisis — MRVL just de-risked that. The fact that the stock is up ~230% from its 52-week low but still 28% off its high tells me investors believe in the AI thesis but are nervous about custom silicon competition from Broadcom — the GF deal quietly addresses that concern by ensuring MRVL can actually deliver on hyperscaler orders.

POLICY & POLITICAL WATCH

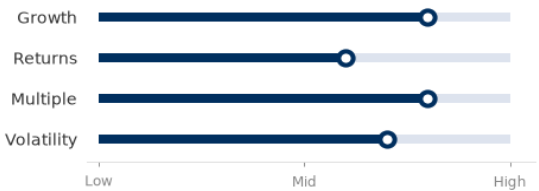
Two things to watch: (1) The Commerce Department's ongoing review of export controls on advanced chips to China — MRVL has China exposure (~40% of revenue historically), so any expansion of the entity list or new licensing requirements is a direct headwind. (2) The CHIPS Act Phase 2 discussions in Congress — there's bipartisan appetite to extend semiconductor manufacturing tax credits (Section 48D) beyond 2026, and the GlobalFoundries partnership positions MRVL to benefit indirectly through their supplier. Also keep an eye on the AI Diffusion Rule updates — if the administration tightens rules on which countries can buy US AI chips, that could pinch MRVL's addressable market even as it protects domestic pricing.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$236.45
12M Price Target	\$275.00
Upside / (Downside)	+16.3%
Market Cap	\$212.50B
FY2027E Revenue	\$8,200M
FY2028E Revenue	\$10,500M
FY2027E EPS	\$2.85
FY2028E EPS	\$4.10
Fwd P/E	83.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$260.00	\$240.00	\$215.00
6 Months	\$310.00	\$265.00	\$200.00
1 Year	\$360.00	\$275.00	\$180.00
2 Years	\$450.00	\$340.00	\$170.00
5 Years	\$650.00	\$450.00	\$200.00
10 Years	\$900.00	\$550.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semiconductors and AI infrastructure — chip stocks rallied broadly today (INTC, AMD, MU, NVDA) as investors shrugged off recent "AI bubble" concerns. The reshoring narrative is a policy tailwind: every announcement of US-based capacity expansion gets rewarded.

COOLING OFF: Financials (-2.65% this week) and Industrials (-2.22%) — rate cut expectations are muddled and cyclical concerns are creeping back. Broader tech is flat, meaning semis are outperforming the sector.

ROTATION WATCH: Money is rotating within tech — out of software (which had a great 2025) and into semis and AI hardware. That's a direct tailwind for MRVL because the "picks and shovels" trade is back in favor.

RELATED PLAY: If MRVL's story is right, the optical component makers (COHR, LITE) and data center power/cooling names (VRT) all benefit from the same AI infrastructure buildout — they're the "second derivative" play.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI kingpin — every custom silicon win by MRVL is technically a share loss for NVDA, but the pie is growing so fast both can win.
- AVGO (Broadcom): MRVL's most direct competitor in custom AI silicon (they design Google's TPUs) — their success validates MRVL's addressable market.

MRVL CONTEXT: MRVL has been a leader in the semi rally this month, up meaningfully more than NVDA over the last week. That tells me the market is starting to view MRVL as a legitimate #2 in custom AI silicon rather than just a networking chip company — a re-rating that has more room to run if the next earnings report confirms accelerating AI revenue.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: \$215-225 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of AWS/Google custom silicon programs or China export ban expansion to SiGe

Hedging: Pair with short position in a more expensive AI name like AVGO or buy Jan puts at \$200 strike